

THE RELIGARE SAGA

1 Religare Enterprises' promoters Malvinder and Shivinder Singh were accused of diverting funds in a group subsidiary between FY14 and FY18, leading to their arrest

2 In December 2018, Religare brought in Rashmi Saluja as Non-executive Independent Director; she was made Executive Chairperson a year later

3 The Burman family, promoters of Dabur, through its entities, had been picking up Religare's shares in the open market, eventually hitting 25% holding in September 2023, necessitating the 26% mandatory open offer

4 The incumbent Religare management has not sought clearances for the open offer and Sebi's interim order-cum-show-cause notice in June directed them to proceed with it

5 An application made by Religare with SAT resulted in the tribunal on July 10 directing it to file the open offer application while putting a stay on the Sebi notice

WILL YOU, WON'T you, will you clear the way, Religare?

The question sums up the Securities and Exchange Board of India's

interim order-cum-show-cause notice that the securities market watchdog posted on its website on June 19. The trigger: the reluctance of the ₹6,300-crore Religare Enterprises Ltd (REL), a listed company, to get the paperwork done for the Burmans of Dabur to wrap up the open offer they made to its shareholders in September last year.

Sebi wants to know why Religare is not getting the clearances required from the regulators that govern its various businesses for the open offer to proceed and why it has ignored Sebi's "explicit" advice. The Burmans' open offer requires "a logical conclusion," Sebi says, after listing every recorded step in the nine-month saga and Religare's failure to back its charges against the Burmans.

Sebi's 12-page document, over 4,400 words long, says Religare

must promise to apply for clearances to the regulators concerned on or before July 12, 2024, or Sebi will restrain Religare from accessing the securities market. Religare is a diversified financial services company that operates in retail stockbroking, health insurance, and lending to small and medium businesses, among others. REL is registered as an NBFC with the Reserve Bank of India.

On July 10, the Securities Appellate Tribunal (SAT) directed Religare to file the necessary open offer application with "regulatory authorities including RBI to comply with the directions" contained in Sebi's interim order. An extension of time was granted till July 22 to submit this application. SAT has also given an interim stay on the show-cause notice issued to REL's top management and provided relief till the next hearing on August 29. This was after REL moved SAT seeking relief from Sebi's order.

But first, let's go back to how the Burmans accumulated stake in REL. Starting in April 2018, the Burmans, promoters of the



"The REL board has just been stalling applying to RBI for the open offer... The Sebi order is clear that the board has not furnished any documentary evidence of why the Burmans are not fit and proper"

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